

ANGLO-CHINESE JUNIOR COLLEGE
JC2 PRELIMINARY EXAMINATION 2024

GENERAL PAPER

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Paper 2

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INSERT

1 hour 30 minutes

READ THESE INSTRUCTIONS FIRST

This Insert contains the passages for comprehension.

This document consists of **4** printed pages.



Passage 1. *An author suggests that the gig economy exploits workers and consumers.*

- 1 Across Britain, gig work—part of a casualised, precarious and on-call jobs market—is growing at a giddy rate. The sector has more than doubled in size since 2016 and now accounts for 4.7 million workers. In part, this is due to new technology: people are using apps on their mobile phones to sell their labour. The core business model relies on near-instant recourse to a large pool of on-demand workers looking for their next gig. Uncertain work is becoming the norm, with the result that unemployment statistics look better than the way Britons feel. It is an environment of overwork, marked by intense bursts of exhaustion. One gig-economy firm even tried to market burnout as a lifestyle by claiming its workers were ‘doers’ for whom ‘sleep deprivation is (their) drug of choice’. Nothing can disguise the fact that the gig economy’s rise has been accompanied by a fall in the fortunes of working households. In a seminal paper, researchers at Oxford University found that half of the gig work in the UK is in our streets, supplying food or couriering parcels or offering taxi rides. 5 10
- 2 Consumer rights are also being rewritten, often to the customer’s detriment. People using popular takeaway apps such as Uber Eats and Deliveroo can order from thousands of restaurants without being aware of their poor hygiene ratings. Such practices undermine the trust needed for the market economy to function smoothly. Hidden beneath the claims of autonomy is the fact that the platforms exercise firm control over most aspects of how, and to what standard, work is done. The technology can monitor whether a freelancer is working for the whole time billed. It can detect whether a gig-economy driver brakes too hard. Too many low rankings might see a worker kicked off a platform. Productivity becomes the way to measure human value. Firms can cherry-pick workers, usually those without children or in good health. What happens to those who have lives that do not match the gig economy’s demands? 15 20
- 3 In the gig economy, employees are no longer protected by a legal system that was designed for a different age. Gig-economy firms assume gig workers to be self-employed contractors rather than their employees who are entitled to employment benefits and have the right to unionise and bargain collectively for better terms and conditions. Britain does have labour laws, but they are not fully applied. This allows gig firms to fight claims individually and then just pay off the worker who wins in court without applying the ruling to the wider workforce. The UK government offers only cosmetic changes to the rules governing the gig economy when it would be better to regulate platforms properly. For example, trade unions suggest that Uber’s licence to operate in London could be made conditional on respecting drivers’ employment rights, but to no avail. 25 30
- 4 It ought to be possible for workers to have flexible work without denying them basic rights. Businesses can only compete fairly if employment rules are equally applied and consistently enforced. On a deeper level, the gig economy is erasing what was for many the traditional goal of working: to buy free time. Instead, we are being seduced and coerced into thinking that it is good to commercialise our leisure time and possessions. Time to spare? Exchange it for cash by delivering pizza. Your apartment free for a week? Rent it out for extra cash. This will not make us happy. We ought to work and have careers that enable us to focus on our relationships and have soul-enriching pastimes. It cannot be socially good to consider leisure time as a lost commercial opportunity. Unless we can turn away from such thinking, we shall see ourselves acting less like humans and more like companies. 35 40

Passage 2. *An author discusses the benefits of the gig economy.*

- 1 In the 20th century, the standard type of worker in the rich world was a full-time, permanent employee. It was cheaper for firms to have people there throughout the working day and order them about than to negotiate and enforce a new contract on the open market for every job that needed doing. In return for coming to work every weekday and following orders, employees received security and predictable pay. 5

- 2 The gig economy overturns that model. It relies on ‘two-sided markets’, which cater to two groups—workers and customers. The more there is of each group, the better for the other. Two-sided labour markets make it easier for economic activity to be organised according to price rather than the boundaries of firms. Accountants, drivers, lawyers and cleaners list themselves online, with descriptions of their experience and availability, and how much they charge. As more people sign up, the platforms have become highly efficient. Customers with tasks that need doing can easily find the skills that they are looking for, without making a permanent hire. 10

- 3 For workers, there are many upsides. The most obvious is that finding work has never been easier. With so many potential customers a click away, someone looking for work on a big platform such as Sendhelper¹ or Uber can almost always find it. The gig economy also creates paid employment that would not otherwise exist. Ride-hailing firms seem to boost demand for private-hire transport rather than forcing conventional taxis out of the market altogether. That makes gigging a boon in places where there is little work on offer of the conventional sort. In Italy, the official rate of youth unemployment is over 30% and the gig economy is a lifeline for those who are unemployed or working in part-time jobs. Moreover, gig work can help smooth out rough patches in the conventional labour market. Data from the Aspen Institute, a think-tank, suggest that the share of giggers working part-time is twice the rate among the workforce as a whole. 15 20

- 4 Gigs may also help people find their way back into the formal labour market. Moreover, gig work can be particularly useful for people with children, and for the disabled or the elderly. It can be seen as a useful stopgap between roles, or a way to top up low earnings from a first job. Given the flexibility of gig work, workers are able to enjoy a level of autonomy that is unusual in conventional jobs. Of course, many gigs—making deliveries, cleaning and taxi-driving—are not lucrative. But such work never paid well. Yet, for people in low-skilled jobs, gigging can mean an upgrade. 25 30

¹ Sendhelper operates an online marketplace that matches freelance house maintenance services such as cleaning, air-con servicing and handyman work with local demand, allowing people to find help with these tasks.

Passage 3. *An author emphasises what is wrong with the gig economy.*

- 1 The challenge for many people who have embraced the gig engagement model is that they are often forced into accepting predatory working practices. These practices compromise their safety and they are paid less than minimum wage. Reluctant participation is also highlighted in McKinsey's latest report on the gig economy which found the majority of those engaged this way do so out of necessity either as their primary or as a supplementary income source. 5
- 2 The gig economy often disempowers the worker (exposing opportunities for exploitative employment practices) and has created tax avoidance or tax shifting opportunities for the global players involved. The media attention is primarily aimed at high profile Silicon Valley startups who have built platforms for ride sharing, food delivery, cleaning on demand and so many other services where the work itself is carried out under a gig-based engagement model. The general feeling from reports is you cannot make a living as a gig economy worker without working excessive hours. Furthermore, these businesses are not necessarily paying proportionate taxes in the countries where services are procured, which is of increasing concern for nations. 10 15
- 3 To be clear, not everyone fitting that description is behaving badly. A few gig platforms enable gig workers to select their own rates, among other friendlier terms. Many commentators are in fact predicting that we will all be freelance workers in the future of work, engaged for our specialist capabilities by many organisations.

Copyright Acknowledgments:

© Adapted; *The Guardian view on the gig economy: stop making burnout a lifestyle* from The Guardian at <https://www.theguardian.com/commentisfree/2019/dec/30/the-guardian-view-on-the-gig-economy-stop-making-burnout-a-lifestyle>; 30 Dec 2019

© Adapted; *Worries about the rise of the gig economy are mostly overblown* from The Economist at <https://www.economist.com/finance-and-economics/2018/10/04/worries-about-the-rise-of-the-gig-economy-are-mostly-overblown>; 4 Oct 2018

© Adapted; MacLennan, V. *What's wrong with the gig economy?* from Medium at <https://medium.com/@victoria.maclennan/whats-wrong-with-the-gig-economy-64b3332c801>; 16 Feb 2018